

Reference date for all information is **July 1st 2014**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

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Introduction

Tax-benefit policy “country chapters” are made available as part of the OECD series *Benefits and Wages*. They provide detailed descriptions of tax and benefit rules in a consistent format across countries and summarize recent policy changes.

Country chapters for other countries and years are available on the Internet at www.oecd.org/els/social/workincentives.

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1. Overview of the tax-benefit system

Unemployment insurance is compulsory for every insured employees, private entrepreneurs and business partners specified in Act LXXX of 1997 on the Eligibility for Social Security Benefits and Private Pensions and the Funding for These Services (hereinafter: SSE), except pensioners entitled to draw pensions on their own right (and further persons specialised in SSE). Unemployment benefit is paid for a maximum of 90 days.

Social assistance is the ultimate financial aid available. Non means-tested family and child-care benefits are available for parents raising a child. In addition, specific means-tested child-care benefits may be claimed as well. Home maintenance aid is provided by the local government.

The tax unit is the individual.

1.1. Average Worker wage (AW)

The AW value for 2014 HUF is 3 009 284.

2. Unemployment insurance

Applicable statutory basis: Act IV of 1991 on Job Assistance and Unemployment Benefits.

Basic principles: Based on principles of social insurance, financed by employers' and employees' labour market contributions and central state budget subsidies, providing earnings-related benefits to employees.

Field of application: All insured employees and private entrepreneurs business partners specialised in SSE except employed pensioners entitled to draw pensions on their own right and further persons specialised in SSE.

The National Employment Service is the administrative body of the employment system. It consists of the National Labour Office, the county labour centres (operating as part of the county government offices since January 2011) and the local labour centres (operating as part of the micro-region government offices since January 2013).

2.1 Conditions for receipt

2.1.1 Employment conditions

Main conditions:

The person is eligible for job-seekers benefit if fulfils the following criteria:

- is as job-seeker registered at the PES;
- co-operates with the labour centre;
- wishes to find employment, but his efforts to find a job have not succeeded and the labour centre is unable to offer suitable employment;
- does not carry out gainful activity (as employee or entrepreneur); is not entitled for old-age, disability or work accident related disability pension;
- does not pursue studies as a full-time student.

2.1.2 Contribution conditions

Qualifying period: payment of contributions for at least 360 days during the previous 3 years qualifies for jobs-seekers' benefit. The job-seeker is granted job-seeker benefit for 90 days. (It is worth to say, that a tax-paying period can be taken into respect only once).

The labour market contribution paid by the employee is 1.5 per cent of his/her base for social security contributions. (Employers and insured private entrepreneurs pay social contribution tax, of which 96.3% is transferred to the Pension Insurance Fund and 3.7% is transferred to the Health Insurance Fund.)

2.2 Calculation of benefit amount

2.2.1 Calculation of the base of job-seeker benefit

The amount of job-seekers' benefits shall be calculated on the basis of the average monthly sum comprising the labour market contribution base that the job-seeker has earned during the four calendar quarters before the time when the application was submitted or - if admitted to the registry of job-seekers subsequently - prior to becoming a job-seeker. In the process of calculating the average monthly sum, the

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amount of the contribution base earned during this period shall be divided by the number of months during which the job-seeker had any income comprising part of the contribution base. If the contribution base of a job-seeker for a given month does not cover the entire month, it shall be taken into consideration as a fraction of a month for the purposes of calculating the average monthly sum.

The amount of job-seeker benefit shall be 60 % of the base of job-seeker benefit, whereas its upper limit shall be 100% of the amount of the minimum wage on the first day of eligibility for job seeker benefit (101 500 HUF/month).

2.2.2 *Income and earnings disregards for benefit recipients and those starting a new job*

Those claiming job-seeker benefits may not pursue any gainful activity. The only two exceptions are short term employment for up to 90 days, and employment under the scope of Act LXXV of 2010 on Simplified Employment (occasional employment and seasonal employment). During the time of short term employment, the benefit ceases to be payable (must be suspended). Payment of job-seeker benefits shall be discontinued if the job-seeker is engaged in short-term gainful activities, not to exceed ninety days, provided the notification obligation (to the employment centre) was satisfied.

2.3 *Tax treatment of benefit and interaction with other benefits*

Job-seeker benefits are subject to the full range of income taxation. The pension insurance contribution is 10 %, and the years on benefit count as qualifying period for pension calculation purposes. The benefit is not subject to health contribution (and therefore the claimant will not receive in-kind benefits e.g. sick pay for disease during the benefit period).

2.4 *Benefit duration and waiting periods*

One day of job-seeker benefit is paid for every 10 days of insurance contribution period, up to a maximum of 90 days.

2.5 *Treatment of particular groups*

2.5.1 *Young persons*

No specific rules for young persons.

2.5.2 *Older workers*

Older job-seekers are entitled to pre-pension job-seekers' allowance as presented under session 3.

2.5.3 *Others if applicable*

Entrepreneurial benefits were cancelled from the 1 of January 2010. From this date the provisions for job-seeker benefit refer to entrepreneurs as well.

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3. Unemployment assistance

The pre-pension job-seekers' allowance based on Act IV of 1991 on Job Assistance and Unemployment Benefits.

3.1 Conditions for receipt

3.1.1 Employment conditions

Those job-seekers are eligible for the pre-pension job-seekers' allowance who

- meet the requirements of the job-seekers' benefit (as detailed in 2.1.1);
- received job-seekers' benefit for at least 45 days and is not any more eligible for it;
- fulfils the mandatory retirement age within 5 years.

3.1.2 Contribution conditions

See under 2.1.1.

3.2 Calculation of benefit amount

3.2.1 Calculation of gross benefit

The benefit is 40% of the minimum wage. Job-seekers' allowance shall be provided until the job-seeker gains eligibility for old-age pension, allowance of persons with reduced ability to work.

3.2.1.1 Irregular additional payments

Not relevant.

3.2.1.2 Obligations of family members

Not relevant.

3.2.2 Income and earnings disregards for benefit recipients and those starting a new job

3.3 Tax treatment of benefit and interaction with other benefits

3.4 Benefit duration and waiting periods

3.5 Treatment of particular groups

3.5.1 Young persons

3.5.2 Older workers

3.5.3 Others if applicable

4. Social assistance

Benefit for people in active age:

It is provided within the social assistance scheme in order to ensure a minimum standard of living for those, who are not employed (except of those in public employment, simplified employment or carrying out household work), and who are in active age (18 – retirement age). The eligibility is depending on the income of the family. The benefit for persons in active age has no time limit.

There are two groups of persons entitled to benefit for persons in active age:

- a) Persons capable of performing work are entitled to **employment substituting support (ESS**, “foglalkoztatást helyettesítő támogatás”). Persons who belong to this scope are obliged to cooperate with the Public Employment Service and to take part in public work. For the period of public work, wage is paid (at least the minimum wage of the public work). The employment substituting support is paid, when the person is not involved into public work or training. The entitlement to the benefit is terminated in case the person cannot prove that in the previous year (s)he pursued a gainful activity, or took part in a training programme or in a labour market programme for at least 30 days. When social assistance is included in the modelling, the person is assumed to remain entitled to the benefit throughout their unemployment spell.
- b) Persons incapable of performing work are entitled to **regular social benefit (RSB**, “rendszeres szociális segély”). Persons eligible are the health impaired, people who have less than five years before retirement age, as well as persons who bring up a child under 14, and the attendance of the child at an institution providing daily care is not ensured. Furthermore, the competent municipality may set other conditions in its local decree connected to the family circumstances, health or mental status of the claimant, in which case the person entitled to benefit for persons in active age is defined as a person incapable of performing work. The calculation of regular social benefit is determined on the grounds of the composition and income of the family.

4.1 Conditions for receipt

Those entitled to benefit for persons in active age are those who have completed their 18th year of age, and:

- a) Have lost at least 67 per cent of their working ability (or has a health impairment of at least 50 %, or whose state of health is assessed by the complex assessment of the rehabilitation authority at 50% or less), or are in receipt of blind persons’ annuity or of disability assistance.
- b) Being unemployed, but no longer entitled to income supplement for the unemployed (or not entitled for income supplement at all, in this case a certain period of cooperation with the public employment service is needed)

and having no alternative source of living.

A person does not have alternative source of living, if the family’s monthly income per consumption unit does not exceed 90 % of the minimum old-age pension (applies to both, ESS and RSB). The definition of consumption unit: see 4.2.1

Only one person in a family can be eligible to the benefit for persons in active age, except for the case when two claimants are entitled to different cash benefits (one person is entitled to ESS (*foglalkoztatást helyettesítő támogatás*), the other to RSB (*rendszeres szociális segély*)). Given the small proportion of the

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eligible population who receive RSB, the modelling focusses on ESS, and so only one member of the family is eligible for social assistance.

Persons who are entitled to ESS are obliged to cooperate with the Public Employment Service and to take part in public work. Persons who are entitled to regular social allowance have to cooperate with the designated body in order to remain entitled to the benefit. The cooperation involves registering and creating and fulfilling an adaptation programme.

The benefit can be received at the same time with other social benefits or incomes.

4.2 Calculation of benefit amount

4.2.1 Calculation of gross benefit

The **monthly amount of the employment substituting support (ESS)** is a fixed lump-sum payment equal to 80 % of the minimum old-age pension (22 800 HUF). The sum is independent of the family composition and paid as long as the family's monthly income per consumption unit does not exceed 90 % of the minimum old-age pension. For the period of work wage is paid (at least the minimum wage of the public work, the gross amount of which is 77 300 HUF).

The **regular social benefit (RSB)**, which is not considered in the tax-benefit model) is calculated with the help of "consumption unit", which shows the structure of the family. Instead of a fixed amount, the benefit depends on the income of the family. The income of the family is supplemented to 90 % of the minimum old-age pension per consumption unit.

The RSB is calculated as follows:

$SA = (0.9 * \text{minimum old age pension} * \text{consumption unit}) - \text{household income}$

The **consumption unit** is as follows:

- The first adult: 1.0 (+ 0.2, if he/she is a single parent)
- Spouse or partner: 0.9
- First and second child: 0.8
- Third and other children: 0.7
- Disabled child: 1.0 (if there are disabled and healthy children, the first healthy child counts 0.8).

If the first adult or the spouse (partner) is receiving disability benefit, they count 1.0+0.2, or 0.9+0.2

The amount of the RSB is limited: the maximum amount is 90 % of the net minimum wage of the public work, 45 569 HUF in 2014. In case in one family two types of cash benefits (RSB and ESS) are paid, the total amount of the two cash benefits cannot exceed 90 % of the net public employment minimum wage.

As for the eligibility in the family to the benefit for people in active age, please see point 4.1.

4.2.1.1 Irregular additional payments

The benefit claimant may receive another supports (e.g. heating supplement, seasonal supplement) if he/she complies with the conditions of the measure.

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4.2.1.2 *Obligations of family members*

4.2.2 *Income and earnings disregards for benefit recipients and those starting a new job*

Various benefits and allowances for persons suffering from serious health damage, such as blind person's annuity or disability assistance etc. do not count as income. Benefit recipients are allowed to perform temporary work (casual work), but the income is calculated in the benefit amount.

In the **household income** housing benefits are not included.

4.3 *Tax treatment of benefit and interaction with other benefits*

Not subject to taxation

4.4 *Benefit duration and waiting periods*

No time limit. It depends only on the way of discontinuing

The unemployed person's social assistance can be re-applied within 36 months from expiring, without fulfilling the preliminary collaboration obligation (if the other entitlement conditions are existing).

4.5 *Treatment of particular group*

No.

4.5.1 *Young persons*

4.5.2 *Older workers*

4.5.3 *Others if applicable*

5. **Housing benefits for rented accommodation**

The home maintenance aid is a means-tested benefit, which is provided as social assistance by the local government for a family or individual who lives in a home not exceeding a specified minimum size, provided that there is no income from the use of that home.

5.1 ***Conditions for receipt***

The benefit is particularly justified if (normative type):

- The monthly income per consumption unit does not exceed 250% of the current minimum amount of old age pension.
- Or: at the time of taking part in debt reducing service (there are no other conditions in this case)

The claimant is not entitled if the property of his/her family exceeds the limit defined by law. The limit is set as follows: the value of one piece of property cannot exceed the thirtyfold of the minimum old-age pension or the value of the whole property cannot exceed the eightyfold of the minimum old-age pension. Property includes usable real estate, the rights associated with that real estate and vehicles. However, it does not include the real estate where the claimant lives, the right which is connected to this real estate and the vehicle which is used to transport a mobility-impaired person.

The calculation of the consumption unit in the case of home maintenance aid is as follows:

- first adult: 1.0
- second adult: 0.9
- subsequent adults: 0.8
- first and second child: 0.8
- subsequent children: 0.7
- If an adult is receiving family allowance in higher amount or disability benefit, than they count +0.2.
- If a child is receiving family allowance in higher amount, than (s)he counts +0.2.
- A single parent counts +0.2.

5.2 ***Calculation of benefit amount***

The calculation of home maintenance aid:

The amount of the home maintenance aid is the product of the „**acknowledged cost of the home maintenance**” and the „**benefit rate**”.

„**Acknowledged cost of the home maintenance**”: the product of the acknowledged flat size and the acknowledged cost per m² defined in the Act on State Budget.

Acknowledged flat size:

- one-person household: 35 m²,
- household with two people: 45 m²,
- household with three people 55 m²,
- household with four people 65 m²,
- household with more than four people: 5 m² increase/each additional person.

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Acknowledged cost per m² in 2014: 450 HUF

„Benefit rate” (BR):

$$BR = 0,3 - \frac{I - 0,5 * MOP}{MOP} * 0,15$$

I: the income per consumption unit in the household

MOP: minimum old-age pension (in 2014: 28 500 HUF)

The amount of the home maintenance aid is 30% of „Acknowledged cost of the home maintenance”, (irrespective of the „benefit rate”) if the monthly income per consumption unit of the household does not exceed 50% of the current minimum amount of old age pension.

5.2.1 *Calculation of gross benefit*

The minimum amount of the benefit is 2,500 HUF.

5.2.2 *Income and earnings disregards*

No.

5.2.3 *Costs eligible for housing benefits*

The expenses listed in the Act III of 1993 on Social Administration and Social Benefits:

1. house rent or sublease fee
2. instalment to redeem a home loan by a financial institution
3. distance heating service fee
4. common costs
5. sewer use fee
6. garbage removal costs
7. costs of electricity, water and gas consumption, and fuel.

5.3 *Tax treatment of benefit and interaction with other benefits*

Not subject to taxation.

5.4 *Treatment of particular groups*

No.

5.4.1 *Young persons*

5.4.2 *Older workers*

5.4.3 *Others if applicable*

6. Family benefits

The Hungarian family support system is a universal scheme, thus every Hungarian national, long-term residents, migrant workers or refugees who are parents (foster and stepparents as well) or guardians (including foster home managers), and who have children up to a certain age (23), may be entitled to various family support benefits. These benefits are financed out of the central budget. The family support system provides:

- family allowance,
- child tax allowance
- regular child protection allowance

Families in need are entitled to regular child protection allowance

Families having temporary cash flow problems or facing emergency situations that seriously threaten their standard of living may ask for local assistance (önkormányzati segély) from the local governments.¹

6.1 Conditions for receipt

General eligibility for every parent raising a child to family allowance. This benefit is provided from birth up to compulsory schooling age as child raising benefit (nevelési ellátás) and from schooling age until the termination of studies in compulsory education system (usually 0-18 years), then for secondary school education or vocational training, up to 20 years of age, or 23 years in case of special educational needs as schooling benefit.

The child tax allowance reduces the tax base of parents raising child(ren).

Families in need are entitled to regular child protection allowance.

She/he is entitled to regular child protection allowance if the per capita monthly income in the family looking after the child does not exceed 140% (In 2014: 39 900 HUF) (as from 1st September 2009) of the prevailing lowest amount of old-age pension, in case of single-parent families, or the child is permanently ill or seriously disabled, or if the child is more than 18 years old and attending to secondary or higher education, in any other case if the per capita monthly income in the family looking after the child does not exceed 130% (In 2014: 37 050 HUF) (as from 1st September 2009) of the prevailing lowest amount of old-age pension.

(The aim of determining such an entitlement is to justify that the child according to his social conditions is entitled to get the normative allowance of daily meals, free of charge textbooks and other support).

Local assistance is paid for families with temporary cash flow problems or facing emergency situations that seriously threaten their standard of living.

6.2 Calculation of benefit amount

6.2.1 Calculation of gross benefit

Family allowance: (the amounts remain same as in 2008)

- | | |
|--|-------------|
| • for one-child family: | 12 200 HUF, |
| • for one-child, single-parent family: | 13 700 HUF, |

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- for two-children family: 13 300 HUF per child,
- for two-children, single parent family: 14 800 HUF per child,
- for families with three or more children: 16 000 HUF per child,
- for single parent families with 3 or more children: 17 000 HUF per child,
- for families with severely ill or disabled child: 23 300 HUF per child,
- for single parent families with severely ill or disabled child: 25 900 HUF per child,
- in case the child concerned is in foster home: 14 800 HUF
- in the case of full aged disabled child: 20 300 HUF

The **child tax allowance** reduces the tax base of parents raising child(ren). The gross monthly amount of the deduction is 62 500 HUF per child in case of one and two children and 206 250 HUF per child in case of three or more children. In net terms it means 10 000 HUF per child for families with one child or two children, and 33 000 HUF per month per child for families with three or more children. The allowance can be claimed by either of the parents, or can be split between the parents. From 2014 employees' pension contribution and health insurance contribution also serve as a basis of the allowance.

In the framework of regular child protection allowance a benefit in kind (voucher, in the value of 2 x 5 800 HUF, for the bearer who is a pensioner or entitled to old-age allowance, 2 x 8 400 HUF in 2011), subsidized meals for children and other kinds of support are provided. Each year the amount of the support will be established by the Parliament, in the act on the budget. Besides the regular child protection allowance, the bearer is entitled to a cash benefit of 6 270 HUF/month/child. It is connected to the child protection allowance (rendszeres gyermekvédelmi kedvezmény), former regular child protection support (rendszeres gyermekvédelmi támogatás). It is dedicated to a special target group: the bearers (or guardians), who receive a pension, a pension-like benefit, or old-age allowance. That means that parents are not eligible to this benefit. The eligible persons are usually the grandparents as guardians.

Local assistance: the amount is designated by decree of the respective local government.

6.2.1.1 *Irregular additional payments*

There's no irregular additional payment.

6.2.2 *Income and earnings disregards*

See 6.1.

6.3 *Tax treatment of benefit and interaction with other benefits*

Not subject to tax

6.4 *Treatment of particular groups*

6.4.1 *Young persons*

6.4.2 *Older workers*

6.4.3 *Others if applicable*

Single parents and parents with severely ill or disabled child are entitled to higher amounts of benefits. (see 6.2.1.)

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7. **Childcare for pre-school children**

Participation rates in kindergarten (school year 2013/2014):

• Under 3 years	10.9 %
• 3 years	78.9 %
• 4 years	93.8 %
• 5 years	95.5 %
• 6 years	61.9 %
• 7 years	2.9 %.

In numbers, it means 9 576 children under 3 years and 320 601 children between 3 and 7 years.

Family daycare

The family daycare is a service where one licensed provider can look after 5 children (or 7 if there is a full-time assistant) in the provider's home or at another suitable place.

One of the reasons for introducing family daycare for children (családi napközi) in Hungary was to offer an option - to those smaller settlements where there are not many young children and it is not feasible to maintain a nursery - which is flexible enough to meet different needs and demands. Compared to center-based childcare, family daycare services can care for a wider age-group (children between 6 months and 14 years of age) and smaller numbers with lower costs.

Establishing family daycare has served two goals: 1) to provide an alternative solution to nurseries, kindergartens and after-school care, complementing their capacities and increasing the number of children in ECEC services; and 2) to help parents of young children to enter the labour market, while creating jobs. The size and operation based on family life of family daycare providers make them especially suitable even for the smallest settlements.

Their flexibility significantly contributes to coordinating the needs of families and work places, to creating jobs in the neighborhood (community) and to running services, which cost less than maintaining nurseries and kindergartens.

According to the National Statistical Office data, there were 1 311 family daycare services in 2014, providing altogether 8 527 places in the country.

7.1 Out-of-pocket childcare fees paid by parents

The Act XXXI of 1997 on the Protection of Children includes the rules for calculating parental fees for children's meals and the available normative support (discounts).

At the centre-based institutes providing the day-time provisions for children the care is free of charge, the family have to pay only for the meal. The average fee is approx. 8 000 - 10 000 Ft/person/month. The basis of the calculation: the cost of the daily raw material for one person. From 1st of January 2012 the service provider has the opportunity to request parental fees for children's care in nurseries.

Under the current rules there are three groups based on the fee payable for the meals:

- those receiving free meals

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- those paying 50% of cost
- those paying full cost.

Free of charge meals are provided for children entitled to regular child protection allowance in nurseries, kindergartens and in the first eight grades of primary schools.

After children suffering from permanent disease or being seriously disabled or those living in families with 3 or more children, or children who are eligible for “regular child protection allowance” and already finished their studies in primary school, but study further in some other school full-time, the families are entitled to pay 50% reduced fee for the daily meals..

According to the data of the National Statistical Office, approx. 37 000 children attend nurseries (ECEC services for children under the age of 3). All of them (100%) receive meals in the nursery. 18% receive free meals, and 16% pay only 50% of the cost. Based on the data, about one third of children attending nurseries receive some support for the cost of meals.

316 486 children received meals in kindergarten, among them 88 830 received it free of charge.

The fees are not tax deductible.

The liability for social support gives possibility for reduction of the fees.

The law on the national budget regulates the financing source of free or reduced cost meals and the amount of the normative support for this purpose.

At the form of the child-minding care at home the fee is based upon the hours being in care, but cannot be more than 15% of the monthly net income of the parents. If the care includes meal, cannot be more than 20%, in the nurseries 25% of that.

7.2 Child-care benefits

Birth grant is a universal benefit provided for every mother (or adopting parents) right after giving birth. Pregnancy-confinement benefit is insurance-based, for the period of the maternity leave, namely 24 weeks (4 weeks before, 20 weeks after planned date of birth, or 24 weeks after the date of birth, as the choice of the mother). Child care fee is insurance based, provided after the period of pregnancy confinement benefit as long as the insurance period of the parent takes, but maximum to the age of 2 years of the child. Child care fee Extra benefit package was introduced on 1 January 2014. Mothers who are not entitled to child care fee due to the lack of a gainful activity, but who have completed at least two active semesters in higher education are entitled to child care fee until the child reaches 1 year of age. Child home care allowance (provided also for grandparents): entitlement is universal, providing flat-rate benefit to all residents. As a general rule, the benefit is provided until the age of 3 years of the child. In case of twins, the benefit is provided until the twins enter into primary education. In case of a child being severely ill or disabled, the benefit is provided until the age of 10 years of the child. Child raising support: entitlement is universal, providing a flat-rate benefit, provided that there are three or more minor children (being under the age of 18) raised in the family. The benefit shall be provided from the age of 3 years of the youngest child until she/he reaches the age of 8 years.

Regular child protection support dissolved into the family allowance, the families in need are entitled to **regular child protection allowance** (see section 6).

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Families having temporary cash flow problems or facing emergency situations that seriously threaten their standard of living may ask for local assistance (önkormányzati segély) from the local governments (see section 6).¹

7.2.1 *Conditions for receipt*

Birth grant is conditional upon that the mother completed at least four prenatal medical examinations (one in case of premature birth).

Pregnancy-confinement benefit is provided if the insured mother (or adopting mother, or in certain cases (e.g. the mother deceased) the father) was insured for at least 365 days during the last two years prior to childbirth and gave birth to the child during being insured or within 42 days after having been terminated the insurance or during paid sick-leave.

Conditions of the child care fee: the parent has to be insured, and needs at least 365 days of insurance during the last two years before delivery, the child lives with the claimant's family, and one of the parents is obliged to stay at home and care for the child. Child care fee Extra benefit package: after the 1st birthday of the child, parents receiving child care benefits (child care fee or child home care allowance) can pursue a gainful activity without time limit. The parent does not lose entitlement to child care benefit, even if during the eligibility period of the benefit a new child is born (applicable to children born after 31 December 2013). In case of twins the eligibility period of child care fee is extended by a year. That means that child care fee can be granted up to the third birthday of the children.

Child home care allowance: for parents who care for their children aged under 3 years (aged under 10 for disabled children) or for grandparents who care for their grandchildren older than one year in the household of the parent. In case of twins the allowance is paid until children will reach the compulsory schooling age (usually 6 years). Above 1 year of age of the child the parent can work no more than 30 hours a week a day or without time restriction at home (the child can be in a formal childcare centre without losing the allowance). The parent of a sick child can pursue a gainful activity without time restriction above 1 year of age of the child. The parent of twins above 1 year of age can decide to work full time, in this case (s)he receives only the general amount of the child home care allowance. In case (s)he chooses to work no more than 30 hours a week, (s)he is entitled to the higher amount dedicated to twins. The grandparent cannot pursue a gainful activity under 3 years of age of the child, while above 3 years, the beneficiary can pursue a gainful activity no more than 30 hours a week, or without time restriction at home.

Since 1 January 2014, multiple child care benefits (pregnancy-confinement benefit, child care fee, child home care allowance) can be claimed in case of having more than one child within the eligibility period, provided that the youngest child in the family was born after 31 December 2013.

Child raising support: see 7.2.

7.2.2 *Calculation of benefit amount*

7.2.2.1 *Calculation of gross benefit*

Birth grant: one off lump-sum payment, 225% of the minimum amount of old-age pension per child or 300 % of the minimum of old-age pension per child in case of twin-children.

Pregnancy-confinement benefit: 70% of the daily average gross earnings of the previous year.

Reference date for all information is **July 1st 2014**

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Child care fee: the amount of benefit is defined as 70% of the daily average gross earnings of the previous year. Maximum 140% of the minimum wage (HUF 142 100 in 2014). As of 1 January 2014, the minimum wage is HUF 101 500. – (“Child care fee Extra” - in case of mothers on student status: HUF 118 000)

Child home care allowance: the amount equals to the monthly minimum old age pension (in 2014: 28 500 HUF), in case of twins, the amount is the minimum old age pension per child.

Child raising support: the amount, irrespectively to the number of children in the family concerned, equals to the minimum old age pension.

7.2.2.2 Income and earnings disregards

There are no disregards.

7.2.3 Tax treatment of benefit and interaction with other benefits

1. The pregnancy-confinement benefit is disbursed on an insurance basis, and is proportionate to earnings, and therefore counts as taxable income and interact with child home care allowance and child care fee (claimed not for the same child). Taxes levied on entire income.
2. Child care allowance is not taxable income. Pension contribution must be paid as the disbursement period is qualifying period for pension.
3. Child raising support is not taxable income. Pension contribution must be paid as the disbursement period is qualifying period for pension.
4. Child care fee is disbursed on an insurance basis, and is proportionate to earnings, and therefore counts as a taxable income and can interact with child home care allowance and pregnancy-confinement benefit (claimed not for the same child). Pension contribution must be paid as the disbursement period is qualifying period for pension.

Birth grant is not taxable income.

7.2.4 Treatment of particular groups

See above.

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8. Employment-conditional benefits

None.

8.1 Conditions for receipt

8.2 Calculation of benefit amount

8.2.1 Calculation of gross benefit

8.3 Tax treatment of benefit and interaction with other benefits

8.4 Benefit duration

8.5 Treatment of particular group

8.5.1 Young persons

8.5.2 Older workers

8.5.3 Others if applicable

9. Lone-parent benefits

See 6.2.1.

9.1 Conditions for receipt

9.2 Calculation of benefit amount

9.2.1 Calculation of gross benefit

9.2.1.1 Irregular additional payments

9.2.2 Income and earnings disregards

9.3 Tax treatment of benefit and interaction with other benefits

9.4 Benefit duration

9.5 Treatment of particular group

9.5.1 Young persons

9.5.2 Older workers

9.5.3 Others if applicable

Reference date for all information is **July 1st 2014**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

10. Tax system

10.1 Income tax

10.1.1 Tax allowances and credits

10.1.1.1 Standard allowances

Family tax allowance: For families having children, the basis of income tax can be reduced by the family tax allowance, which amounts to HUF 62,500 per month for each dependent child (for families having one or two children), or HUF 206,250 per month for each dependent child (for families having at least three children). From 2014 employees' pension contribution and health insurance contribution also serve as a basis of the allowance.¹

10.1.1.2 Standard tax credits

Tax credit of low wage: - The tax credit was eliminated – without a transitional period – as of January 1, 2012.

Personal Tax Credit of severely handicapped individuals: a person suffering from certain diseases, or who receives disability benefits may deduct 5 per cent of the minimum wage (HUF 5,075) from the tax on the consolidated tax base every month. The tax credit is non-wastable.

Tax Base

The tax base shall comprise the income after deductions (costs, family tax allowance) made according to PIT Act. The 27% tax base adjustment was abolished since January 1, 2013.

10.1.3 State and local income taxes

In Hungary there is no local personal income tax system supplementing the central one. More precisely, until 2013 the total income tax collected was split between the central government and local governments. From 2013 the total income tax is part of the revenue of the state, due to the redistribution of local tasks between the local governments and the state. At the same time, the local governments can still levy taxes on sites and buildings, tourist facilities and business activities.

10.2 Treatment of family income

The tax unit is the individual. Spouses are taxed separately. However, the family tax allowance can be split between spouses.

¹ This means: families whose combined PIT base is not sufficient to claim the maximum amount of the family tax allowance can deduct the remaining sum from the 7 % health insurance contribution and the 10 % pension contribution.

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10.3 Social security contributions and payroll taxes

Public burden on gross incomes in 2014	
Paid by the employer	Paid by the employee
Social contribution tax: 27% Vocational contribution: 1,5%	Pension contribution 10%
	Health insurance and labour market contribution 8.5% = 4% in-kind health ins.contr. + 3% in cash health ins.contr. + 1.5% labour market contr.
	Personal income tax: 16 %

10.3.1 Contributions payable by employees and benefit recipients

Pensions

Employer's contribution rate remains the same and is renamed as 'social contribution tax.' The upper limit of the employees' contribution has been ceased from 1 Jan 2013.

Sickness

The rate of health security contribution amounts to 7 per cent of gross earnings.

Unemployment

The worker must pay, as employees' contribution, 1.5 per cent of gross earnings.

Note: Only earned income is liable to job-seeker benefit and sickness contributions. That is, workers pay 17.5 per cent and unemployed pay 10 %.

10.3.2 Contributions payable by employers

Pensions

Sickness

Unemployment

Instead of employers' pension insurance contribution, employers' health insurance contribution and labour market contribution, employers shall pay social contribution tax since 1 January 2012. Only the

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name and the legal nature have changed, the rate (27%) has remained the same. The revenue from social contribution tax is divided among Pension Insurance Fund and Health Insurance Fund.

10.3.3 *Payroll taxes*

The training contribution amounts to 1.5 per cent of salaries paid.

10.4 *Treatment of particular group*

The Government adopted measures to promote labour demand by announcing the Job Protection Act (JPA). The new measures provide tax incentives for employers.

The incentives targeting employers in the JPA focus on the employment of groups in respect of which Hungary's employment figures show the largest divergence in international comparison. These are also the groups that are in the worst labour market position and which have high labour supply flexibility, such as persons below 25 or above 55 years of age, unskilled persons (elementary occupations), long-term unemployed as well as mothers with small children (returning to the labour market after maternity leave). After the employment of such persons employers are eligible for SSC deductions up to the income ceiling of HUF 100 thousand per month.

Up to HUF 100 thousand per month the aggregate 28.5% rate of the social contribution tax and the vocational training contribution payable by the employer is reduced to 14% in the case of employing persons younger than 25 years or older than 55 years of age and workers employed in unskilled positions. If the employee below 25 years of age is also a career starter, the employer is exempted from all of these taxes in the first two years of employment. Similarly, two years of full exemption is available in respect of employees considered to be long-term unemployed (who have been registered as unemployed for over 6 months) and persons hired after having received child care fee or during or after the disbursement of child care allowance or child raising support. For this group, a 50% tax reduction applies to the third year as well (which translates into a tax rate of 14%).

The tax allowances are available both in respect of newly hired and current employees, thus they act as incentives for job creation and job retention at the same time.

10.4.1 *Young persons*

Up to a tax base of HUF 100 thousand per month the aggregate 28.5% rate of the social contribution tax and the vocational training contribution payable by the employer is reduced to 14% in the case of employing persons younger than 25 years. If the employee below 25 years of age is also a career starter, the employer is exempted from all of these taxes up to HUF 100 thousand in the first two years of employment.

10.4.2 *Older workers*

Up to a tax base of HUF 100 thousand per month the aggregate 28.5% rate of the social contribution tax and the vocational training contribution payable by the employer is reduced to 14% in the case of employing persons older than 55 years of age.

10.4.3 *Others if applicable*

Up to a tax base of HUF 100 thousand per month the aggregate 28.5% rate of the social contribution tax and the vocational training contribution payable by the employer is reduced to 14% in the case of workers employed in unskilled positions.

Up to a tax base of HUF 100 thousand per month the aggregate 28.5% rate of the social contribution tax and the vocational training contribution payable by the employer is reduced to 0% in the case of workers employees considered to be long-term unemployed (who have been registered as unemployed for over 6 months)² and persons hired after having received child care fee or during or after the disbursement of child care allowance or child raising support. For this group, a 50% tax reduction applies to the third year as well (which translates into a tax rate of 14%). For families with three or more children the duration of the latter tax break is longer (100% reduction in the first three years and 50% reduction in the fourth and fifth year of employment).

The Start Plus, Start Extra and Start Bonus programmes were abolished on 31st December 2013.

11. **Part-time work**

11.1 *Special benefit rules for part-time work*

11.2 *Special tax and social security contribution rules for part-time work*

Part-time workers pay the same social security contributions as full-time workers, a contribution calculated as a per cent of earnings. With the revision, and afterwards the abolishment (as of 2009) of the fixed amount health care contribution, tax burden on employers is proportional to hours worked.

Act CXXIII/2004 introduced a **reduced social security contribution for employers** in case of part-time (re)employment of a mother receiving child care benefit and employing parallel the substitute also part-time. Employer is entitled to reduced contribution. Instead of 27 % social security contribution, he can pay only 20% social security contribution in case of part time employment of both employees.

² Note: Since there is no assumption on the length of previous unemployment of a person in the TaxBen model, this variation has not been implemented.

Reference date for all information is **July 1st 2014**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

12. Policy developments

12.1 Policy changes introduced: 2nd July 2013 – 1st July 2014

Pensions and benefits prior to retirement age:

According to the modification of Act in 2012, the pension calculation system remains unchanged. From January 2013: pensions are calculated from net wages and they are exempt from taxation.

From July 2013, pension benefits or early retirement benefits should have been suspended if the pensioner or early beneficiary works at public sector. This provision was aiming to prevent gaining income for the same activity from two sources.

The system for persons employed in hazardous to health jobs also changed in 2012 in line with the other early pension measures (as it was written in the former paper), but in the case of early retirement due to hazardous working conditions, the former rules were applied until December 31st 2014. These types of pension benefits have been ceased from 1 January 2015, thus the contribution payment for these benefits are also ceased from the same date of effect.

Annual adjustment of pensions and benefits prior to retirement age is according to the predicted increase in consumer prices (inflation) in January. 2.4% increase in January 2014.

Benefits for people with changed working capacity

From 1st January 2014 the amounts of the disability and rehabilitation benefits increased by 2.4%. The annual rate of increase of these benefits corresponds with the annual rate of increase of old age pensions.

From 1st January 2014 the necessary insurance period for benefits for persons with changed working capacity was modified: those can be eligible, who had been insured for at least 1095 days within 5 years, or 2555 days within 10 years, or 3650 days within 15 years before submitting the claim (before 2014, only those could be eligible who had been insured for at least 1095 days within 5 years).

Social assistance system:

As from 1st January 2014 the gross public employment minimum wage amounts to 77 300 HUF. Since the maximum amount of the regular social benefit is connected to the public employment minimum wage (90% of the net public employment minimum wage), the maximum amount of the benefit increased to 45 569 HUF (instead of 44 508 HUF in 2013).

From 1st January 2014 three forms of social assistances (temporary assistance, funeral assistance and irregular child protection support) merged, since all of these benefits have the same goal: to provide help to families who are in a crisis situation. The new benefit is called local assistance.

Employment:

New unemployment benefit system

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Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

As of September 1, 2011, the unemployment benefit system underwent far-reaching reforms. As a general rule, all requests for benefits must be assessed on the basis of the rules in effect at the time of submitting the request.

The changes to the types of benefits and their duration

- The two phases of **payment of the job-seekers' benefit** has been abolished according to the new rules. Furthermore, the maximum duration of the benefit has been reduced, instead of the previous 270 days, the benefit can only be paid for max. 90 days.
- Two types of job-seekers' aid (1: to be paid right after the job-seekers' benefit, 2) established on the basis of 200 days of employment relationship) were abolished.
- The previous 3rd type of job-seekers' aid has been maintained, but renamed „job-seekers' aid before pension". The eligibility conditions are the same, except for the fact that only 90 days of job-seeker benefit is required as an eligibility period, instead of previous 140 days.

Changes to the eligibility requirements for job-seekers' benefits

- **The eligibility period** of the job-seekers' benefit has been **increased** from 4 years **to 5 years**, the qualifying time (time spent in employment) has been **reduced** from 365 days **to 360 days**.
- The 5-year eligibility period **is not extended** by the periods that are usually assimilated to an employment relationship (e.g. time of child-care allowance, military service) when the recipient was employed, self-employed or **participated in a public works programme**.
- Right now, **10 days of insurance period** is required for the payment of one day of job-seekers' benefit, compared to the previous 5 days.
- From 1 January 2012 the eligibility period of the job-seekers' benefit has been changed, from 5 years to 3 years.

Amendments to the conditions of accepting a suitable job offer

- Accepting a suitable job offer is mandatory for everyone receiving unemployment benefit, for those who do not receive unemployment benefit, it is **mandatory to accept enrolment in a public works programme** (otherwise they will no longer be entitled to social assistance).
- Even a job offer where the place of work is far away from the residence of the recipient has to be accepted, if the following conditions are fulfilled:
 - A job offer for a job necessitating more than 3 hours but less than 4 hours of daily commuting (for single parents, more than 2 hours of commuting) must be accepted, if the employer provides free transport.
 - A job offer for a job necessitating more than 4 hours of daily commuting must be accepted, if the employer provides free accommodation, food and an opportunity to use a bathroom.
 - Moreover, if daily commuting from the workplace is impossible, the job-seeker is only obliged to accept the job offer, if his/her family circumstances are not adversely affected. The administrative officer of the local government is entitled to investigate this circumstance and to issue a waiver.

Family benefits

“Child care fee Extra” benefit package was introduced on 1st January 2014:

After the 1st birthday of the child, parents receiving child care benefits (child care fee or child home care allowance) can pursue a gainful activity without time limit.

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- The parent does not lose entitlement to child care benefit, even if during the eligibility period of the benefit a new child is born (applicable to children born after 31 December 2013). In this case, the parent is allowed to apply for benefit with regard to the new child, and is allowed to keep the former benefit, as well
- Mothers who are not entitled to child care fee due to the lack of a gainful activity, but who have completed at least two active semesters in higher education are entitled to child care fee until the child reaches 1 year of age.
- In case of twins the eligibility period of child care fee is extended by a year. That means that child care fee can be granted up to the third birthday of the children.

The differentiated state financing for nurseries in order to provide care for disadvantaged and/or disabled children has been increased from 1st January 2014.

Tax system

Family tax allowance is extended: besides personal income tax, employees' pension contributions and health insurance contributions also serve as a basis of the allowance.

Employers' social security contributions – up to 100 000 HUF gross wage per month per employee – can be reduced by 100% in the first three years, and by 50% in the fourth and fifth year of employment of a parent who has three or more children, and who returned to the labour market while receiving child care benefit, or after the benefit has been ceased (before 2014, the reduction of the contribution was 100% in the first two years and 50% in the third year).

Moreover, the tax reliefs for parents with small children have been widened under the Job Protection Act from 2015. In case of those employees, who are working part-time, from 2015 onwards, there will be no rule of proportion. This means that irrespective of the working time, the tax relief can be validated up until 100 thousand HUF gross monthly income, in case of the employment of parents with small children.

Minimum wage

In 2014 the minimum wage was 101 500 HUF/months.

12.2 *Future policy changes announced since 1st July 2014*

Family benefits (changes have been introduced from 1st January 2015)

- Family tax allowance will be raised for families with two children: between 2016 and 2019 the amount will be doubled in four steps.
- Since 2015 for couples married for the first time the basis of income tax can be reduced by HUF 31 250 per month for one person of the couple for 24 months at maximum but until they become entitled to family tax allowance.

The pregnancy-confinement benefit has been renamed to infant care fee from 1st January 2015.

From 1 July 2015 the youth home-start subsidy (CSOK) will be available for purchasing used apartments or for expanding existing ones by families with one infant only besides those with two or more children.

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The amount of the support dedicated for children's catering has been increased in the past years in order to improve the quality and quantity of meal provided for children. Further goal is to provide more children in nurseries and kindergartens with free catering.

Benefits for people with changed working capacity

From 1st January 2015 the amounts of the disability and rehabilitation benefits increased by 1,8%. The annual rate of increase of these benefits corresponds with the annual rate of increase of old age pensions.

Treatment of particular group

The budgetary institutions are not eligible for the JPA tax allowances anymore (however in net terms they were not beneficiaries of this scheme before either).

Social assistance system:

As from 1st January 2015 the gross public employment minimum wage amounts to 79 155 HUF. Since the maximum amount of the regular social benefit is connected to the public employment minimum wage (90% of the net public employment minimum wage), the maximum amount of the benefit increased to 46 662 HUF (instead of 45 569 HUF in 2014).

From 1st March 2015 several changes will be introduced in the social assistance system. The essence of the changes is to divide clearly the local governmental and state responsibilities in this field.

The benefits the provision of which is classified as a state responsibility are the following:

- benefit for people in active age
- old-age allowance
- nursing fee (except for the local form of nursing fee)
- public health care card system (except for the local form of public health care card system)
- certificate for health services.

The rules of following benefits will be repealed from the Social Act. That means that the central regulation of these benefits ceases. Instead of these benefits the local governments have the authority to define the types and eligibility criteria of the benefits they provide:

- home maintenance support
- local form of nursing fee
- local form of public health care card system
- debt management support.

The name of the support provided by local governments will be uniformly Local Benefit. The local government will be entitled to decide the forms, eligibility criteria and amount of the provisions provided in the frame of local benefit. The only obligation of the local authority is to provide extraordinary local benefit for those who are in exceptional life status that threatens their existence or struggling temporarily or permanently with troubles of existence.

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The local governments who do not have enough resources for the tasks regarding social benefits are entitled to a support from the central budget.

Benefit for people in active age

From 1st March the **district office will be the competent authority** regarding the benefit (instead of the head of the local administration).

The rules of **employment substituting benefit** will not change.

The benefit provided for those incapable of performing work will be **Benefit for people with health impairment or taking care of children** (*Egészségkárosodási és gyermekfelügyeleti támogatás*) from 1st March 2015.

The entitlement to benefit for persons in active age will be revised until 28th February in case of those who receive regular social benefit.

Those who are entitled to the regular social benefit because of:

- their health status or
- taking care of young children

will be entitled automatically to **Benefit for people with health impairment or taking care of children**.

The amount of the new benefit is calculated in the same way as in the case of regular social benefit; the only difference is that the family income limit will be 92% of the minimum old-age pension per consumption unit instead of 90%.

Those who are entitled to the regular social benefit because of:

- their age or
- who satisfies the entitlement conditions defined by the decree of municipality according to family, health and mental conditions

will be entitled to **employment substituting benefit**.

Pensions and benefits prior to retirement age

The system for persons employed in jobs hazardous to health also changed in 2012 in line with the other early pension measures, but in the case of early retirement due to hazardous working conditions, the former rules were applied until December 31st 2014. These types of pension benefits have been ceased from 1 January 2015, thus the contribution payment for these benefits are also ceased from the same date of effect. This change in legislation has the following interpretation. From 1 January 2015 there is no possibility to gain new entitlement for persons employed in jobs hazardous to health, although persons employed in such profession who have gained entitlement will continue to receive their former benefit as a benefit prior to retirement age (*korhatár előtti ellátás*).

Annual adjustment of pensions and benefits prior to retirement age is according to the predicted increase in consumer prices (inflation) in January. 1.8% increase in January 2015.

ANNEX

DEFINITION OF SOCIAL SECURITY CONTRIBUTIONS AND PAYROLL TAXES.

The following text has been adapted from Annex A of the OECD *Revenue Statistics*.

Social security contributions to general government

Classified here are all compulsory payments that confer an entitlement to receive a (contingent) future social benefit. Such payments are usually earmarked to finance social benefits and are often paid to institutions of general government that provide such benefits. However, such earmarking is not part of the definition of social security contributions and is not required for a tax to be classified here. However, conferment of an entitlement is required for a tax to be classified under this heading. So, levies on income or payroll that are earmarked for social security funds but do not confer an entitlement to benefit are excluded from this heading and shown under personal income taxes or taxes on payroll and workforce. Taxes on other bases, such as goods and services, which are earmarked for social security benefits are not shown here [...] because they generally confer no entitlement to social security benefits.

Contributions for the following types of social security benefits would, *inter alia*, be included: unemployment insurance benefits and supplements, accident, injury and sickness benefits, old-age, benefits prior to retirement age, benefits for persons with changed working capacity disability and survivors' pensions, family allowances, reimbursements for medical and hospital expenses or provision of hospital or medical services. Contributions may be levied on both employees and employers.

Social security contributions paid to institutions outside general government

Contributions to social insurance schemes which are not institutions of general government and to other types of insurance schemes, provident funds, pension funds, friendly societies or other saving schemes [are included here if they are compulsory or quasicompulsory (e.g., by virtue of agreement with professional and union organisations)]. Provident funds are arrangements under which the contributions of each employee and of the corresponding employer on his/her behalf are kept in a separate account earning interest and withdrawable under specific circumstances. Pension funds are separately organised schemes negotiated between employees and employers and carry provisions for different contributions and benefits, sometimes more directly tied to salary levels and length of service than under social security schemes.

Payroll taxes

This heading covers taxes paid by employers or employees either as a proportion of payroll or as a fixed amount per person, and which do not confer entitlement to social benefits. Examples of taxes classified here are the United Kingdom national insurance surcharge (introduced in 1977), the Swedish payroll tax (1969-1979), and the Austrian Contribution to the Family Burden Equalisation Fund and Community Tax.

¹ See point 12.1.: From 1st January 2014 three forms of social assistances (temporary assistance, funeral assistance and irregular child protection support) merged, since all of these benefits have the same goal: to provide help to families who are in a crisis situation. The new benefit is called local assistance.